



Image 5.17 – Failure of oversold condition in Stochastics

Image 5.17 shows Stochastics stayed below 20 for a long time during the downtrend.

All the long trades at these levels only resulted in a series of failed trades.

Then what is the right way of using the Stochastics indicator?

The answer is simple. Always look for a 'Long' trade above 80 and look for a 'Short' trade below 20.

In the below case, I only backtested this system for 'Long' trades (with different levels near 80), and I will leave the back testing work for 'Short' trades for the readers.

Back Testing Settings

Initial Capital – Rs.350,000

Trading Instrument – Banknifty Futures

Timeframe – 15 Min chart

Trading Window – 2010 to 2021

Position Sizing – Fixed 2 Lots (No increment with capital)

Initial stop-loss – 0.5% away from the entry price